

Consulting Signings and Book-to-Bill

(\$ in millions)

For the year ended December 31:	2024	2023 ⁽¹⁾	Yr.-to-Yr. Percent Change	Yr.-to-Yr. Percent Change Adjusted for Currency
Total Consulting signings	\$ 25,103	\$ 24,305	3.3 %	4.7 %

(1) Recast to reflect January 2024 segment changes.

Consulting signings grew 3.3 percent as reported (4.7 percent adjusted for currency) in 2024, driven by our strong performance in signings in the fourth quarter of 2024. This performance reflects our ability to address client demands and the contribution of our generative AI solutions that help clients accelerate their digital transformations. Our book-to-bill ratio over the trailing twelve months was 1.21. Book-to-bill represents the ratio of IBM Consulting signings to its revenue over the same period and is a useful indicator of the demand for our business over time.

Signings are management's initial estimate of the value of a client's commitment under a services contract within IBM Consulting. There are no third-party standards or requirements governing the calculation of signings. The calculation used by management involves estimates and judgments to gauge the extent of a client's commitment, including the type and duration of the agreement and the presence of termination charges or wind-down costs.

Contract extensions and increases in scope are treated as signings only to the extent of the incremental new value. Total signings can vary over time due to a variety of factors including, but not limited to, the timing of signing a small number of larger contracts. Signings associated with an acquisition will be recognized on a prospective basis.

Management believes the estimated values of signings disclosed provide an indication of our forward-looking revenue. Signings are used to monitor the performance of the business and viewed as useful information for management and shareholders. The conversion of signings into revenue may vary based on the types of services and solutions, contract duration, customer decisions, and other factors, which may include, but are not limited to, the macroeconomic environment.

Infrastructure

(\$ in millions)

For the year ended December 31:	2024	2023	Yr.-to-Yr. Percent Change	Yr.-to-Yr. Percent Change Adjusted for Currency
Infrastructure revenue	\$ 14,020	\$ 14,593	(3.9)%	(2.7)%
Hybrid Infrastructure	\$ 8,913	\$ 9,215	(3.3)%	(2.3)%
IBM Z			(10.0)	(8.9)
Distributed Infrastructure			1.6	2.6
Infrastructure Support	5,107	5,377	(5.0)	(3.4)

Infrastructure revenue of \$14,020 million decreased 3.9 percent as reported (2.7 percent adjusted for currency) as compared to the prior year, reflecting product cycle dynamics within Hybrid Infrastructure and Infrastructure Support.

Hybrid Infrastructure revenue of \$8,913 million decreased 3.3 percent as reported (2.3 percent adjusted for currency) as compared to the prior year. Within Hybrid Infrastructure, IBM Z revenue decreased 10.0 percent as reported (8.9 percent adjusted for currency) on a year-to-year basis. At the end of 2024, z16 was in its eleventh quarter of availability, and the combination of resiliency, reliability, and security of this platform continues to resonate with clients. The total revenue performance from the z16 program has outpaced prior Z cycles, and program-to-date installed MIPS have increased more than 30 percent as clients' capacity needs continued to grow. IBM Z remains an enduring platform for mission-critical workloads, driving hardware adoption as well as related software, storage and services. Distributed Infrastructure revenue increased 1.6 percent as reported (2.6 percent adjusted for currency), driven primarily by double-digit growth in Storage systems, partially offset by a decline in cloud platform revenue. Storage revenue performance was driven by growth in high-end storage tied to the z16 platform and solutions tailored to protect, manage and access data for generative AI. In the fourth quarter of 2024, we introduced new innovation within Storage designed to give clients the ability to scale storage capacity to meet the growing data demands to support the next generation of AI workloads and projects.

Infrastructure Support revenue of \$5,107 million decreased 5.0 percent as reported (3.4 percent adjusted for currency), driven by volume declines in support of non-IBM equipment and IBM product cycle dynamics.

(\$ in millions)

For the year ended December 31:	2024	2023 ⁽¹⁾	Yr.-to-Yr. Percent/ Margin Change
Infrastructure			
Gross profit	\$ 7,819	\$ 8,187	(4.5) %
Gross profit margin	55.8 %	56.1 %	(0.3) pts.
Segment profit	\$ 2,450	\$ 2,828	(13.4) %
Segment profit margin	17.5 %	19.4 %	(1.9) pts.

(1) Recast to reflect January 2024 segment changes.

Infrastructure gross profit margin decreased 0.3 points to 55.8 percent in 2024 compared to the prior year, reflecting product cycle dynamics within both Hybrid Infrastructure and Infrastructure Support. Segment profit of \$2,450 million decreased 13.4 percent and segment profit margin decreased 1.9 points to 17.5 percent primarily driven by product cycle dynamics and the investments in innovation we continued to make across IBM Z, Power and Storage systems in support of our clients' increasing demand for capacity, reliability and security, and the integration of generative AI across their enterprises. The impact to segment profit from these increased investments was partially offset by a year-to-year increase in intellectual property and custom development income in 2024.

Financing

Refer to pages 41 through 42 for a discussion of Financing's segment results.

Geographic Revenue

In addition to the revenue presentation by reportable segment, we also measure revenue performance on a geographic basis.

(\$ in millions)

For the year ended December 31:	2024	2023	Yr.-to-Yr. Percent Change	Yr.-to-Yr. Percent Change Adjusted for Currency
Total revenue	\$ 62,753	\$ 61,860	1.4 %	2.5 %
Americas	\$ 31,266	\$ 31,666	(1.3)%	(0.7)%
Europe/Middle East/Africa	19,429	18,492	5.1	4.7
Asia Pacific	12,058	11,702	3.0	7.9

Geographic revenue performance for 2024 as compared to 2023:

Americas revenue decreased 1.3 percent as reported and 0.7 percent adjusted for currency. The U.S. decreased 0.5 percent. Canada decreased 4.5 percent as reported and 2.9 percent adjusted for currency. Latin America decreased 3.5 percent as reported, but was flat adjusted for currency. Within Latin America, Brazil revenue decreased 9.4 percent as reported and 5.0 percent adjusted for currency.

EMEA revenue increased 5.1 percent as reported and 4.7 percent adjusted for currency. Germany increased 14.5 percent as reported and 15.1 percent adjusted for currency. The UK increased 4.3 percent as reported and 1.8 percent adjusted for currency. Italy increased 3.5 percent as reported and 3.9 percent adjusted for currency. France was flat both as reported and adjusted for currency.

Asia Pacific revenue increased 3.0 percent as reported and 7.9 percent adjusted for currency. Japan revenue increased 7.6 percent as reported and 16.2 percent adjusted for currency. China decreased 7.2 percent as reported and 6.1 percent adjusted for currency. Australia decreased 3.6 percent as reported and 2.6 percent adjusted for currency. India decreased 1.5 percent as reported, but was flat adjusted for currency.

Total Expense and Other (Income)

(\$ in millions)

For the year ended December 31:	2024	2023	Yr.-to-Yr. Percent/ Margin Change
Total expense and other (income) ⁽¹⁾	\$ 29,754	\$ 25,610	16.2 %
Non-operating adjustments			
Amortization of acquired intangible assets	(1,107)	(996)	11.1
Acquisition-related charges	(122)	(33)	271.1
Non-operating retirement-related (costs)/income ⁽¹⁾	(3,457)	39	NM
Operating (non-GAAP) expense and other (income)	\$ 25,068	\$ 24,620	1.8 %
Total expense-to-revenue ratio	47.4 %	41.4 %	6.0 pts.
Operating (non-GAAP) expense-to-revenue ratio	39.9 %	39.8 %	0.1 pts.

(1) 2024 includes the impact of pension settlement charges of \$3.1 billion. Refer to note U, "Retirement-Related Benefits," for additional information.

NM—Not meaningful

Our expense dynamics in 2024 reflect our continued investment to execute our hybrid cloud and AI strategy. We remain focused on our productivity initiatives as we digitally transform our business processes and scale AI within IBM. This includes simplifying our application and infrastructure environments, aligning our teams by workflow and enabling a higher value-add workforce through automation and AI-driven efficiencies. These productivity initiatives allowed for continued investments to drive innovation in our portfolio.

Total expense and other (income) increased 16.2 percent in 2024 versus the prior year primarily driven by the pension settlement charges of \$3.1 billion in 2024, higher spending reflecting our continued investment in portfolio innovation to drive our strategy and higher workforce rebalancing charges; partially offset by the benefits from productivity and the actions taken to transform our operations, higher gains from divestitures, and the effects of currency.

Total operating (non-GAAP) expense and other (income) increased 1.8 percent year to year, driven primarily by the factors described above, excluding the pension settlement charges.

For additional information regarding total expense and other (income) for both expense presentations, refer to the following analyses by category.

Selling, General and Administrative Expense

(\$ in millions)

For the year ended December 31:	2024	2023	Yr.-to-Yr. Percent Change
Selling, general and administrative expense			
Selling, general and administrative—other	\$ 16,047	\$ 15,706	2.2 %
Advertising and promotional expense	1,173	1,237	(5.2)
Workforce rebalancing charges	696	438	58.8
Amortization of acquired intangible assets	1,105	995	11.0
Stock-based compensation	690	616	12.0
Provision for/(benefit from) expected credit loss expense	(21)	10	NM
Total selling, general and administrative expense	\$ 19,688	\$ 19,003	3.6 %
Non-operating adjustments			
Amortization of acquired intangible assets	(1,105)	(995)	11.0
Acquisition-related charges	(55)	(44)	23.8
Operating (non-GAAP) selling, general and administrative expense	\$ 18,529	\$ 17,964	3.1 %

NM—Not meaningful

Management Discussion

International Business Machines Corporation and Subsidiary Companies

Total selling, general and administrative (SG&A) expense increased 3.6 percent in 2024 versus 2023, driven primarily by the following factors:

- Higher net spending (3 points), including expenses of acquired businesses (1 point), as a result of our continued investment to drive our hybrid cloud and AI strategy; partially offset by benefits from productivity and the actions taken to transform our operations; and
- Higher workforce rebalancing charges (1 point) to address stranded costs and accelerate our productivity initiatives; partially offset by
- The effects of currency (1 point).

Operating (non-GAAP) SG&A expense increased 3.1 percent year to year primarily driven by the same factors.

Expected credit loss was a benefit of \$21 million in 2024 as compared to a provision of \$10 million in 2023. The year-to-year change was primarily driven by lower specific reserve requirements in the current year. Refer to “Receivables and Allowances” section on page 25 for additional information.

Research, Development and Engineering Expense

(\$ in millions)

	2024	2023	Yr.-to-Yr. Percent Change
For the year ended December 31:			
Total research, development and engineering	\$ 7,479	\$ 6,775	10.4 %

Research, development and engineering (RD&E) expense increased 10.4 percent in 2024 versus 2023, primarily driven by investments to drive innovation in AI, hybrid cloud and quantum, as well as in Infrastructure ahead of our next IBM Z cycle in 2025.

Intellectual Property and Custom Development Income

(\$ in millions)

	2024	2023	Yr.-to-Yr. Percent Change
For the year ended December 31:			
Intellectual property income ^{(1) (2)}	\$ 329	\$ 374	(12.1)%
Custom development income	667	485	37.5
Total	\$ 996	\$ 860	15.9 %

(1) Includes licensing, royalty-based fees and sales.

(2) Prior-year amounts have been reclassified to conform to the change in 2024 presentation.

Total Intellectual Property and Custom Development Income increased 15.9 percent in 2024 compared to 2023. The increase was primarily driven by joint development and licensing agreements with a Japanese consortium to leverage our intellectual property and expertise on advanced semiconductors.

The timing and amount of licensing, sales or other transfers of IP may vary significantly from period to period depending upon the timing of licensing agreements, economic conditions, industry consolidation and the timing of new patents and know-how development.

Other (Income) and Expense

(\$ in millions)

For the year ended December 31:	2024	2023	Yr.-to-Yr. Percent Change
Other (income) and expense			
(Gains)/losses on foreign currency transactions	\$ (458)	\$ 116	NM
(Gains)/losses on derivative instruments ⁽¹⁾	515	(17)	NM
Interest income	(747)	(670)	11.4 %
Net (gains)/losses from securities and investment assets	(20)	(39)	(49.4)
Retirement-related costs/(income)	3,457	(39)	NM
Other	(877)	(266)	230.3
Total other (income) and expense	\$ 1,871	\$ (914)	NM
Non-operating adjustments			
Amortization of acquired intangible assets	(2)	(1)	144.6
Acquisition-related charges ⁽¹⁾	(68)	11	NM
Non-operating retirement-related costs/(income)	(3,457)	39	NM
Operating (non-GAAP) other (income) and expense	\$ (1,656)	\$ (866)	91.3 %

(1) 2024 and 2023 include the impact of a \$68 million loss and \$12 million gain, respectively, recognized on foreign exchange derivative contracts entered into by the company prior to the acquisition of StreamSets and webMethods from Software AG. Refer to note S, "Derivative Financial Instruments," for additional information.

NM—Not meaningful

Total other (income) and expense was \$1,871 million of expense in 2024 compared to income of \$914 million in 2023. The year-to-year change was primarily driven by:

- Non-operating retirement-related cost of \$3,457 million in the current-year period versus \$39 million of income in the prior-year period primarily driven by the impact of the pension settlement charges of \$3,113 million in 2024 and an increase in recognized actuarial losses due to the change in amortization period of the Qualified PPP, effective January 1, 2024. Refer to note U, "Retirement-Related Benefits," for additional information; and
- Lower gains on land/building dispositions (\$126 million) included in "Other"; partially offset by
- A gain of \$349 million from the sale of certain QRadar SaaS assets in 2024, included in "Other". Refer to note E, "Acquisitions & Divestitures," for additional information; and
- Higher gains on divestitures (\$206 million) primarily driven by the divestiture of The Weather Company assets (\$243 million), included in "Other". Refer to note E, "Acquisitions & Divestitures," for additional information; and
- Higher gains on sales of intangibles (\$87 million) included in "Other"; and
- Higher interest income (\$77 million) primarily driven by a higher average cash balance in the current year.

Operating (non-GAAP) other (income) and expense was income of \$1,656 million in 2024 and increased \$790 million compared to the prior year. The year-to-year change was primarily driven by the gain recognized from the sale of certain QRadar SaaS assets in the current year, higher gains on divestitures and sales of intangibles and higher interest income.

Interest Expense

(\$ in millions)

For the year ended December 31:	2024	2023	Yr.-to-Yr. Percent Change
Total interest expense	\$ 1,712	\$ 1,607	6.5 %

Interest expense of \$1,712 million in 2024 increased \$105 million compared to 2023. Interest expense is presented in cost of financing in the Consolidated Income Statement only if the related external borrowings are to support the Financing external business. Overall interest expense (excluding capitalized interest) in 2024 was \$2,048 million, an increase of \$108 million year to year primarily driven by higher average interest rates.

Stock-Based Compensation

Pre-tax stock-based compensation cost of \$1,311 million increased \$178 million compared to 2023. This was primarily due to increases from restricted stock units (\$108 million), performance share units (\$36 million), stock options (\$23 million) and employees stock purchase plan (\$11 million). The increases were primarily driven by stock-based compensation awards granted as part of our annual cycles for executives and other employees. The year-to-year change in stock-based compensation cost was reflected in the following categories: Cost: \$223 million, up \$33 million; SG&A expense: \$690 million, up \$74 million; and RD&E expense: \$398 million, up \$70 million.

Retirement-Related Plans

The following table provides the total pre-tax cost for all retirement-related plans. Total operating costs/(income) are included in the Consolidated Income Statement within the caption (e.g., Cost, SG&A, RD&E) relating to the job function of the plan participants.

(\$ in millions)

For the year ended December 31:	2024	2023	Yr.-to-Yr. Percent Change
Retirement-related plans—cost			
Service cost	\$ 568	\$ 183	209.8 %
Multi-employer plans	13	13	(3.7)
Cost of defined contribution plans	440	991	(55.6)
Total operating costs/(income)	\$ 1,021	\$ 1,188	(14.0)%
Interest cost	\$ 2,135	\$ 2,415	(11.6)%
Expected return on plan assets	(2,800)	(2,971)	(5.7)
Recognized actuarial losses	967	508	90.2
Amortization of prior service costs/(credits)	(7)	(9)	(17.9)
Curtailments/settlements ⁽¹⁾	3,159	5	NM
Other costs	3	13	(74.7)
Total non-operating costs/(income) ⁽¹⁾	\$ 3,457	\$ (39)	NM
Total retirement-related plans—cost ⁽¹⁾	\$ 4,478	\$ 1,149	289.7 %

(1) 2024 includes pension settlement charges of \$3.1 billion. Refer to note U, "Retirement-Related Benefits," for additional information.

NM—Not meaningful

Total pre-tax retirement-related plan cost increased by \$3,329 million compared to 2023, primarily due to a increase in curtailments/settlements (\$3,154 million) primarily driven by the pension settlement charges in 2024, higher recognized actuarial losses (\$459 million), higher service cost (\$385 million) and lower expected returns on plan assets (\$171 million); partially offset by lower cost of defined contribution plans (\$551 million) and lower interest costs (\$280 million).

As discussed in the "Operating (non-GAAP) Earnings" section, we characterize certain retirement-related costs as operating and others as non-operating. Utilizing this characterization, operating retirement-related costs in 2024 were \$1,021 million, a decrease of \$167 million compared to 2023, primarily driven by lower cost of defined contribution plans (\$551 million), partially offset by higher service cost (\$385 million) due to U.S. retirement plan changes effective January 1, 2024. Including the related employee salary increase effective January 1, 2024, the net impact to our operating costs from the U.S. retirement plan changes was immaterial for the current year. Refer to note U, "Retirement-Related Benefits," for additional information. Non-operating cost was \$3,457 million in 2024 as compared to income of \$39 million in 2023. The year-to-year change in non-operating costs was driven primarily by the pension settlement charges in the current year and higher recognized actuarial losses; partially offset by lower interest costs.

Income Taxes

The continuing operations effective tax rate for 2024 was (3.8) percent compared to 13.5 percent in 2023. The current-year effective tax rate was primarily driven by the tax impact of the pension settlement charges and the resolution of certain tax audit matters. The operating (non-GAAP) effective tax rate for 2024 was 13.6 percent compared to 14.0 percent in 2023. For additional information, refer to note G, "Taxes."

Financial Position

Dynamics

Our balance sheet at December 31, 2024 continues to provide us with flexibility to support and invest in the business.

Cash and cash equivalents, restricted cash and marketable securities at December 31, 2024 were \$14,804 million, an increase of \$1,342 million compared to prior-year end. Total debt of \$54,973 million decreased \$1,574 million compared to December 31, 2023. We continue to manage our debt levels while being acquisitive and without sacrificing investments in our business.

During 2024, we generated \$13,445 million in cash from operating activities, compared to \$13,931 million in 2023. While cash provided by financing receivables declined year to year from business variability, we had performance-related improvements within net income driving an increase within cash from operating activities. Our free cash flow for 2024 was \$12,749 million, an increase of \$1,538 million versus the prior year. Refer to page 35 for additional information on free cash flow. Our cash generation enables us to continue investing in innovation and expertise across the portfolio, while returning value to shareholders through dividends. We invested \$3,289 million in acquisitions and returned \$6,147 million to shareholders through dividends in 2024.

Consistent with accounting standards, the company remeasured the funded status of our retirement and postretirement plans at December 31. The overall net underfunded position at December 31, 2024 was \$2,657 million, a decrease of \$1,348 million from the prior-year end, primarily due to higher discount rates. At year end, our qualified defined benefit pension plans were well funded and the required contributions related to these plans and multi-employer plans are expected to be \$100 million in 2025. In 2024, the return on the U.S. Personal Pension Plan assets was 2.6 percent and the plan was 136 percent funded at December 31, 2024. Overall, global asset returns were 2.0 percent and the qualified defined benefit plans worldwide were 116 percent funded at December 31, 2024.

IBM Working Capital

(\$ in millions)

At December 31:	2024	2023
Current assets	\$ 34,482	\$ 32,908
Current liabilities	\$ 33,142	\$ 34,122
Working capital	\$ 1,340	\$ (1,214)
Current ratio	1.04:1	0.96:1

Working capital increased \$2,554 million from the year-end 2023 position. Current assets increased \$1,574 million (\$2,707 million adjusted for currency) primarily in cash and cash equivalents, and short-term financing receivables. Current liabilities decreased \$980 million (increased \$37 million adjusted for currency) as a result of a decrease in short-term debt mainly due to maturities; partially offset by an increase in deferred income.

Receivables and Allowances

Roll Forward of Total IBM Receivables Allowance for Credit Losses

(\$ in millions)

January 1, 2024	Additions/ (Releases) ⁽¹⁾	Write-offs ⁽²⁾	Foreign currency and other ⁽³⁾	December 31, 2024
\$457	\$(18)	\$(146)	\$(21)	\$273

(1) Additions/(Releases) for allowance for credit losses are recorded in expense.

(2) Refer to note A, "Significant Accounting Policies," for additional information regarding allowance for credit loss write-offs.

(3) Other includes additions/(releases) related to discontinued operations.

Excluding receivables classified as held for sale, the total IBM receivables provision coverage was 1.4 percent at December 31, 2024, a decrease of 80 basis points compared to December 31, 2023. The decrease in coverage is due to declines in reserves primarily driven by write-offs. The majority of the write-offs during the year were related to receivables which had been previously reserved and were considered uncollectible as the related customer is no longer in operation, or there was no reasonable expectation of repossession or additional collections primarily due to the age of the receivables. Write-offs also includes about \$60 million of previously reserved receivables from discontinued operations. Refer to Financing's "Financial Position" on page 42 for additional details regarding the Financing segment receivables and allowances.

Noncurrent Assets and Liabilities

(\$ in millions)		
At December 31:	2024	2023
Noncurrent assets	\$ 102,693	\$ 102,333
Long-term debt	\$ 49,884	\$ 50,121
Noncurrent liabilities (excluding debt)	\$ 26,756	\$ 28,385

The increase in noncurrent assets of \$360 million (\$2,453 million adjusted for currency) was primarily due to an increase in goodwill primarily from the StreamSets and webMethods acquisition; partially offset by currency impacts.

Long-term debt decreased \$237 million (increased \$761 million adjusted for currency) primarily driven by reclassifications to short-term debt to reflect upcoming maturities and currency impacts; partially offset by our first-quarter 2024 debt issuances.

Noncurrent liabilities (excluding debt) decreased \$1,629 million (\$337 million adjusted for currency) primarily driven by lower retirement and postretirement benefit obligations.

Debt

Our funding requirements are continually monitored as we execute our strategies to manage the overall asset and liability profile. Additionally, we maintain sufficient flexibility to access global funding sources as needed.

(\$ in millions)		
At December 31:	2024	2023
Total debt	\$ 54,973	\$ 56,547
Financing segment debt ⁽¹⁾	\$ 12,116	\$ 11,879
Non-Financing debt	\$ 42,858	\$ 44,668

(1) Refer to Financing's "Financial Position" on page 41 for additional details.

Total debt of \$54,973 million decreased \$1,574 million (\$536 million adjusted for currency) from December 31, 2023, primarily driven by maturities of \$6,615 million; partially offset by proceeds from issuances of \$5,705 million.

Non-Financing debt of \$42,858 million decreased \$1,810 million (\$1,029 million adjusted for currency) from December 31, 2023, primarily driven by maturities; partially offset by proceeds from issuances.

Financing segment debt of \$12,116 million increased \$236 million (\$493 million adjusted for currency) from December 31, 2023, primarily due to higher funding requirements associated with financing receivables.

Financing provides financing solutions predominantly for IBM's external client assets, and the debt used to fund Financing assets is primarily composed of intercompany loans. Total debt changes generally correspond with the level of client and commercial financing receivables, the level of cash and cash equivalents, the change in intercompany and external payables and the change in intercompany investment from IBM. The terms of the intercompany loans are set by the company to substantially match the term, currency and interest rate variability underlying the financing receivable. The Financing debt-to-equity ratio remained at 9.0 to 1 at December 31, 2024.

Interest expense relating to debt supporting Financing's external client and internal business is included in the "Financing Results of Operations" and in note D, "Segments." In the Consolidated Income Statement, the external debt-related interest expense supporting Financing's internal financing to the company is classified as interest expense.

Equity

Total equity increased \$4,780 million from December 31, 2023, primarily driven by an increase from net income of \$6,023 million which includes the impact of the pension settlement charges of \$2,407 million net of tax, a decrease in accumulated other comprehensive loss of \$3,492 million driven by retirement-related benefit plans primarily due to the pension settlement charges and amortization of net losses, and an increase in common stock of \$1,737 million; partially offset by dividends paid of \$6,147 million.

Cash Flow

Our cash flows from operating, investing and financing activities, as reflected in the Consolidated Statement of Cash Flows on page 49, are summarized in the table below. These amounts also include the cash flows associated with the Financing business.

(\$ in millions)			
For the year ended December 31:	2024		2023
Net cash provided by/(used in)			
Operating activities	\$	13,445	\$ 13,931
Investing activities		(4,937)	(7,070)
Financing activities		(7,079)	(1,769)
Effect of exchange rate changes on cash, cash equivalents and restricted cash		(359)	9
Net change in cash, cash equivalents and restricted cash	\$	1,071	\$ 5,101

During 2024, we generated \$13,445 million in cash from operating activities, compared to \$13,931 million in 2023. While cash provided by financing receivables declined year to year due to variability in volumes, we had performance-related improvements within net income driving an increase within cash from operating activities.

Net cash used in investing activities decreased \$2,133 million mainly driven by the Apptio acquisition in 2023, an increase in cash provided by divestitures from the sale of The Weather Company assets and an increase in cash from disposition of property, plant and equipment/other mainly driven by proceeds from the sale of certain QRadars SaaS assets; partially offset by the current year acquisition of StreamSets and webMethods and higher net purchases of marketable securities and other investments.

Net cash used in financing activities increased \$5,309 million mainly due to an increase in net cash provided by debt of \$5,377 million primarily driven by a lower level of debt issuances and a higher level of maturities in the current year compared to 2023.

GAAP Reconciliation

The tables below provide a reconciliation of our income statement results as reported under GAAP to our operating earnings presentation which is a non-GAAP measure. Management's calculation of operating (non-GAAP) earnings, as presented, may differ from similarly titled measures reported by other companies. Please refer to the "Operating (non-GAAP) Earnings" section for management's rationale for presenting operating earnings information.

(\$ in millions except per share amounts)

For the year ended December 31, 2024:	GAAP	Acquisition-Related Adjustments	Retirement-Related Adjustments ⁽¹⁾	U.S. Tax Reform Impacts ⁽²⁾	Operating (non-GAAP)
Gross profit	\$ 35,551	\$ 724	\$ —	\$ —	\$ 36,275
Gross profit margin	56.7 %	1.2 pts.	— pts.	— pts.	57.8 %
SG&A	\$ 19,688	\$ (1,159)	\$ —	\$ —	\$ 18,529
Other (income) and expense ⁽³⁾	1,871	(70)	(3,457)	—	(1,656)
Total expense and other (income)	29,754	(1,229)	(3,457)	—	25,068
Pre-tax income from continuing operations	5,797	1,953	3,457	—	11,207
Pre-tax margin from continuing operations	9.2 %	3.1 pts.	5.5 pts.	— pts.	17.9 %
Provision for/(benefit from) income taxes ⁽⁴⁾	\$ (218)	\$ 497	\$ 790	\$ 455	\$ 1,523
Effective tax rate	(3.8)%	5.1 pts.	8.2 pts.	4.1 pts.	13.6 %
Income from continuing operations	\$ 6,015	\$ 1,456	\$ 2,668	\$ (455)	\$ 9,684
Income margin from continuing operations	9.6 %	2.3 pts.	4.3 pts.	(0.7)pts.	15.4 %
Diluted earnings per share from continuing operations	\$ 6.42	\$ 1.55	\$ 2.85	\$ (0.49)	\$ 10.33

(\$ in millions except per share amounts)

For the year ended December 31, 2023:	GAAP	Acquisition-Related Adjustments	Retirement-Related Adjustments	U.S. Tax Reform Impacts	Operating (non-GAAP)
Gross profit	\$ 34,300	\$ 631	\$ —	\$ —	\$ 34,931
Gross profit margin	55.4 %	1.0 pts.	— pts.	— pts.	56.5 %
SG&A	\$ 19,003	\$ (1,039)	\$ —	\$ —	\$ 17,964
Other (income) and expense	(914)	10	39	—	(866)
Total expense and other (income) ⁽³⁾	25,610	(1,029)	39	—	24,620
Pre-tax income from continuing operations	8,690	1,660	(39)	—	10,311
Pre-tax margin from continuing operations	14.0 %	2.7 pts.	(0.1)pts.	— pts.	16.7 %
Provision for income taxes ⁽⁴⁾	\$ 1,176	\$ 368	\$ (8)	\$ (95)	\$ 1,441
Effective tax rate	13.5 %	1.4 pts.	0.0 pts.	(0.9)pts.	14.0 %
Income from continuing operations	\$ 7,514	\$ 1,292	\$ (30)	\$ 95	\$ 8,870
Income margin from continuing operations	12.1 %	2.1 pts.	0.0 pts.	0.2 pts.	14.3 %
Diluted earnings per share from continuing operations	\$ 8.15	\$ 1.40	\$ (0.03)	\$ 0.10	\$ 9.62

(1) Retirement-Related Adjustments in 2024 includes the impact of pension settlement charges of \$3.1 billion (\$2.4 billion net of tax) . Refer to note U, "Retirement-Related Benefits," for additional information.

(2) 2024 includes a benefit from income taxes due to the resolution of certain tax audit matters.

(3) Acquisition-Related Adjustments in 2024 and 2023 include the impact of a \$68 million loss and \$12 million gain, respectively, recognized on foreign exchange derivative contracts entered into by the company prior to the acquisition of StreamSets and webMethods from Software AG. Refer to note S, "Derivative Financial Instruments," for additional information.

(4) The tax impact on operating (non-GAAP) pre-tax income is calculated under the same accounting principles applied to the GAAP pre-tax income.

PRIOR YEAR IN REVIEW

This section provides a summary of our segment results and year-to-year comparisons between 2023 and 2022. These segment results have been recast to conform to our segment changes effective first-quarter 2024. There was no change to our consolidated results. Refer to “Year in Review” section of our “Management Discussion,” (pages 17 to 28), of our 2023 Annual Report on Form 10-K for a discussion of all other details of our financial condition and results of operations for the year ended December 31, 2023 compared to the year ended December 31, 2022.

Segment Details

The table below presents each reportable segment’s revenue and gross margin results which are presented on a comparable basis. Refer to “Organization of Information” section of “Management Discussion” and note D, “Segments,” for additional information on the recast of our segment financial results for 2023 and 2022.

(\$ in millions)

For the year ended December 31:	2023 ⁽¹⁾	2022 ⁽¹⁾	Yr.-to-Yr. Percent/ Margin Change	Yr.-to-Yr. Percent Change Adjusted for Currency
Revenue				
Software	\$ 25,011	\$ 23,629	5.8 %	5.9 %
Gross margin	82.9 %	82.5 %	0.4 pts.	
Consulting	20,884	20,058	4.1 %	5.6 %
Gross margin	26.8 %	25.8 %	0.9 pts.	
Infrastructure	14,593	15,288	(4.5)%	(3.9)%
Gross margin	56.1 %	52.8 %	3.3 pts.	
Financing	741	645	14.8 %	15.0 %
Gross margin	48.1 %	38.3 %	9.8 pts.	
Other	632	909	(30.5)%	(31.6)%
Gross margin	(87.4)%	(32.9)%	(54.5)pts.	
Total revenue	\$ 61,860	\$ 60,530	2.2 %	2.9 %
Total gross profit	\$ 34,300	\$ 32,687	4.9 %	
Total gross margin	55.4 %	54.0 %	1.4 pts.	
Non-operating adjustments				
Amortization of acquired intangible assets	631	682	(7.5)%	
Operating (non-GAAP) gross profit	\$ 34,931	\$ 33,370	4.7 %	
Operating (non-GAAP) gross margin	56.5 %	55.1 %	1.3 pts.	

(1) Recast to reflect January 2024 segment changes.

Software

(\$ in millions)

For the year ended December 31:	2023 ⁽¹⁾	2022 ⁽¹⁾	Yr.-to-Yr. Percent Change	Yr.-to-Yr. Percent Change Adjusted for Currency
Software revenue	\$ 25,011	\$ 23,629	5.8 %	5.9 %
Hybrid Platform & Solutions	\$ 17,396	\$ 16,458	5.7 %	5.8 %
Red Hat			9.1	9.0
Automation			3.4	3.6
Data & AI			6.0	6.4
Security			(1.4)	(1.4)
Transaction Processing	7,615	7,171	6.2	6.3

(1) Recast to reflect January 2024 segment changes.

Software revenue of \$25,011 increased 5.8 percent as reported (5.9 percent adjusted for currency) in 2023 compared to the prior year, driven by growth in both Hybrid Platform & Solutions and Transaction Processing. The growth in Hybrid Platform & Solutions was led by Red Hat, Automation and Data & AI. In Transaction Processing, our IBM Z platform continued to drive client demand. Our Software revenue performance in 2023 reflected growth in our high-value, recurring revenue base, which was approximately 80 percent of our annual software revenue, as well as transactional revenue.

Management Discussion

International Business Machines Corporation and Subsidiary Companies

Hybrid Platform & Solutions revenue of \$17,396 increased 5.7 percent as reported (5.8 percent adjusted for currency) in 2023 compared to the prior year. Within Hybrid Platform & Solutions, Red Hat revenue increased 9.1 percent as reported (9.0 percent adjusted for currency) led by double-digit growth in OpenShift and Ansible, and solid growth in RHEL. OpenShift continued its strong performance with annual recurring revenue of \$1.2 billion exiting 2023. Automation revenue increased 3.4 percent as reported (3.6 percent adjusted for currency), with strength in AIOps and Management solutions as clients looked to optimize business performance and enhance productivity. Data & AI revenue increased 6.0 percent as reported (6.4 percent adjusted for currency), reflecting demand for data management as clients prepared for generative AI, and strength in asset and supply chain management software which helps clients run sustainable operations. Security revenue decreased 1.4 percent as reported and adjusted for currency. While we had revenue declines in security threat management and identity and access management, we delivered revenue growth in data security.

Across Hybrid Platform & Solutions, our annual recurring revenue (ARR) was \$13.8 billion exiting 2023. ARR is a key performance metric management uses to assess the health and growth trajectory of our Hybrid Platform & Solutions business within the Software segment. Refer to the “Year in Review” section on page 17 for our definition of ARR.

Transaction Processing revenue of \$7,615 million increased 6.2 percent as reported (6.3 percent adjusted for currency) in 2023 compared to the prior year. Clients continued to value this portfolio of mission-critical software in support of growing workloads on our hardware platforms, such as IBM Z. This, together with price increases, contributed to growth in both recurring and transactional revenue in Transaction Processing.

(\$ in millions)

For the year ended December 31:	2023 ⁽¹⁾	2022 ⁽¹⁾	Yr.-to-Yr. Percent/ Margin Change
Software			
Gross profit	\$ 20,721	\$ 19,483	6.4 %
Gross profit margin	82.9 %	82.5 %	0.4 pts.
Segment profit	\$ 7,499	\$ 7,012	6.9 %
Segment profit margin	30.0 %	29.7 %	0.3 pts.

(1) Recast to reflect January 2024 segment changes.

Software gross profit margin of 82.9 percent in 2023 increased 0.4 points compared to the prior year, primarily driven by margin expansion in software services due to portfolio mix. Segment profit of \$7,499 million increased 6.9 percent and segment profit margin of 30.0 percent increased 0.3 points compared to 2022. The year-to-year increases in segment profit and segment profit margin were driven by our solid revenue growth, higher gross profit contribution and the productivity actions that were taken; partially offset by key investments in innovation. Segment profit margin in 2023 included approximately 1 point of impact from currency.

Consulting

(\$ in millions)

For the year ended December 31:	2023 ⁽¹⁾	2022 ⁽¹⁾	Yr.-to-Yr. Percent Change	Yr.-to-Yr. Percent Change Adjusted for Currency
Consulting revenue	\$ 20,884	\$ 20,058	4.1 %	5.6 %
Business Transformation	\$ 9,179	\$ 8,834	3.9 %	5.3 %
Technology Consulting	3,775	3,730	1.2	2.8
Application Operations	7,930	7,494	5.8	7.3

(1) Recast to reflect January 2024 segment changes.

Consulting revenue of \$20,884 million increased 4.1 percent as reported (5.6 percent adjusted for currency) in 2023 compared to the prior year, with growth across all three business areas. This growth reflected the solid demand for our data and technology transformation projects with a focus on AI and analytics. Clients were also prioritizing cloud modernization and cloud-based application development projects. There was a consistent client focus throughout 2023 on digital transformation and AI initiatives to drive productivity and cost savings for their enterprises. Our integrated value proposition, investments in skills and strategic partnerships and focused execution differentiated us in the marketplace. Our strategic partnerships, which accounted for approximately 40 percent of Consulting revenue, delivered double-digit Consulting revenue growth in 2023 compared to the prior year.

Business Transformation revenue of \$9,179 million increased 3.9 percent as reported (5.3 percent adjusted for currency) year to year, led by data and technology transformations including AI and analytics-focused projects, and finance and supply chain transformations.

Technology Consulting revenue of \$3,775 million increased 1.2 percent as reported (2.8 percent adjusted for currency), led by cloud-based application development and cloud modernization projects.

Application Operations revenue of \$7,930 million increased 5.8 percent as reported (7.3 percent adjusted for currency) driven by growth in platform engineering services and cloud application management.

(\$ in millions)

For the year ended December 31:	2023 ⁽¹⁾	2022 ⁽¹⁾	Yr.-to-Yr. Percent/Margin Change
Consulting			
Gross profit	\$ 5,588	\$ 5,180	7.9 %
Gross profit margin	26.8 %	25.8 %	0.9 pts.
Segment profit	\$ 2,130	\$ 1,871	13.8 %
Segment profit margin	10.2 %	9.3 %	0.9 pts.

(1) Recast to reflect January 2024 segment changes.

Consulting gross profit margin increased 0.9 points to 26.8 percent in 2023 compared to the prior year. Segment profit of \$2,130 million increased 13.8 percent and segment profit margin increased 0.9 points to 10.2 percent. The increases in gross profit margin and segment profit margin reflected benefits from pricing and productivity actions, which were partially offset by increased labor costs.

Infrastructure

(\$ in millions)

For the year ended December 31:	2023	2022	Yr.-to-Yr. Percent Change	Yr.-to-Yr. Percent Change Adjusted for Currency
Infrastructure revenue	\$ 14,593	\$ 15,288	(4.5)%	(3.9)%
Hybrid Infrastructure	\$ 9,215	\$ 9,451	(2.5)%	(2.2)%
IBM Z			(4.5)	(4.2)
Distributed Infrastructure			(1.0)	(0.7)
Infrastructure Support	5,377	5,837	(7.9)	(6.6)

Infrastructure revenue of \$14,593 million decreased 4.5 percent as reported (3.9 percent adjusted for currency) in 2023 as compared to the prior year, reflecting product cycle dynamics which impacted both Hybrid Infrastructure and Infrastructure Support.

Hybrid Infrastructure revenue of \$9,215 million decreased 2.5 percent as reported (2.2 percent adjusted for currency) in 2023 as compared to the prior year. Within Hybrid Infrastructure, IBM Z revenue decreased 4.5 percent as reported (4.2 percent adjusted for currency) on a year-to-year basis, consistent with the z16 cycle, as it was introduced in the second quarter of 2022. Overall, across the program cycle, z16 revenue performance at year-end 2023 had significantly outperformed prior cycles, including the successful z15 program. The z16 program incorporates a number of key innovations for our clients including cloud-native development for hybrid cloud, embedded AI at scale, quantum safe cyber-resilient security, energy efficiency and strong reliability and scalability. Clients increasingly leveraged IBM Z for more workloads which drove demand for more capacity. Installed MIPS have doubled during the last two IBM Z product cycles. IBM Z remains an enduring platform, driving hardware adoption as well as related software, storage and services. Distributed Infrastructure revenue decreased 1.0 percent as reported (0.7 percent adjusted for currency). We had year-to-year declines in high-end Power and cloud platform revenue; partially offset by strong growth in high-end Storage and low- to mid-range Power.

Infrastructure Support revenue of \$5,377 million decreased 7.9 percent as reported (6.6 percent adjusted for currency), which reflected reduced demand for support services as a result of product cycle dynamics.

(\$ in millions)

			Yr.-to-Yr. Percent/ Margin Change
For the year ended December 31:	2023 ⁽¹⁾	2022 ⁽¹⁾	
Infrastructure			
Gross profit	\$ 8,187	\$ 8,076	1.4 %
Gross profit margin	56.1 %	52.8 %	3.3 pts.
Segment profit	\$ 2,828	\$ 2,671	5.9 %
Segment profit margin	19.4 %	17.5 %	1.9 pts.

(1) Recast to reflect January 2024 segment changes.

Infrastructure gross profit margin increased 3.3 points to 56.1 percent in 2023 compared to the prior year. The increase was driven by margin expansion in Hybrid Infrastructure across both Distributed Infrastructure and IBM Z, reflecting our continued focus on productivity initiatives including streamlining our supply chain; partially offset by margin decline in Infrastructure Support due to product cycle dynamics. Segment profit of \$2,828 million increased 5.9 percent and segment profit margin increased 1.9 points to 19.4 percent primarily driven by the increase in gross profit contribution, an increase in IP and custom development income, a benefit from the change in the useful life of servers and network equipment, and productivity actions. Segment profit margin in 2023 included approximately 1 point of impact from currency.

Financing

(\$ in millions)

			Yr.-to-Yr. Percent Change
For the year ended December 31:	2023	2022	
Revenue	\$ 741	\$ 645	14.8 %
Segment profit ⁽¹⁾	\$ 373	\$ 340	9.8 %

(1) Recast to reflect January 2024 segment changes.

Financing revenue increased 14.8 percent (15.0 percent adjusted for currency) to \$741 million in 2023 compared to the prior year, primarily driven by client financing up \$89 million to \$728 million. The increase in client financing revenue was primarily driven by an increase in client financing asset yields.

Financing segment profit increased 9.8 percent to \$373 million in 2023 compared to the prior year and the segment profit margin of 50.3 percent decreased 2.3 points year to year. The increase in segment profit in 2023 was primarily driven by a decrease in SG&A expenses and settlements on non-accrual assets.

OTHER INFORMATION

Looking Forward

Technology has proven to be a fundamental source of competitive advantage and is now the key to sustainable growth and business transformation. Continued demand for technology will serve as a major driving force behind global economic and business growth as businesses look to scale, offer better services, drive efficiencies and seize new market opportunities. AI-driven productivity, in particular, continues to be a top priority for businesses for both cost reductions and new revenue opportunities.

Enterprise AI continues to gain momentum. Our clients have moved beyond experimentation and are now looking to scale AI in their businesses and generate return from their investments. The portfolio of AI offerings we have built is focused on generating that return through productivity improvements and automation. We have infused AI across the business, from the tools clients use to manage and optimize their hybrid cloud environments, to the tools to deploy AI within their enterprise, to Infrastructure and Consulting, there is AI innovation within all of our segments. For example, in Software, IBM watsonx provides a robust portfolio of AI products for developing AI apps, managing data, and governing the entire lifecycle of AI models. Red Hat is bringing AI to the platform with innovation such as OpenShift AI and RHEL AI. In Transaction Processing, we are experiencing continued customer interest in our generative AI product, watsonx Code Assistant for Z. In Infrastructure, IBM Z is equipped with real time AI inferencing capabilities. We continue to see Infrastructure play a larger role, enabling hybrid cloud environments for mission-critical transactions and AI workloads, as clients bring AI to their data. In Consulting, our experts are helping clients design and execute AI strategies by leveraging the IBM Consulting Advantage platform, an AI delivery platform designed to implement solutions at scale, transforming how our consultants work and harnessing AI across every stage of the project lifecycle.

We are committed to an open innovation ecosystem around AI, to help our clients maximize flexibility and leverage skills, and IBM with Red Hat can be a key driver of open-source AI. In the second quarter of 2024, we open-sourced IBM's Granite models, which are designed for specific purposes and significantly more cost-efficient than larger alternatives, and we see parallels to how Linux became a leader in the enterprise server space as a result of the speed and innovation offered by open source. Red Hat and IBM also launched InstructLab to evolve and improve AI models. Our partner ecosystem remains essential to both AI and hybrid cloud growth and we continue to progress strategic partnerships with leading technology providers. In August 2024, we completed the sale of certain IBM QRadar SaaS assets to Palo Alto, which is part of a partnership with them to deliver AI-powered security solutions using watsonx to clients.

We continue to invest in emerging technologies, bringing new innovations to market. In 2024, we expanded our IBM Quantum Data Center in Poughkeepsie, New York and opened the first IBM Quantum Data Center in Europe. We also announced a partnership with the State of Illinois to build the National Quantum Algorithm Center in Chicago and deploy a next-generation IBM Quantum System Two, supporting the future of quantum-centric supercomputing and greatly advancing our goal of expanding access to the world's most performant quantum computers. We also remained focused on portfolio optimization. In January 2024, we closed the divestiture of The Weather Company assets. To complement our portfolio, we completed eleven acquisitions in 2024, including the acquisition of the StreamSets and webMethods assets from Software AG. This acquisition brings together leading capabilities in integration, API management, and data ingestion. At the end of 2024, we closed the acquisition of Neural Magic, which strengthens our AI capabilities in performance engineering and model optimization.

On April 24, 2024, we announced our intent to acquire all of the outstanding shares of HashiCorp. The combination of IBM's and HashiCorp's combined portfolios will help clients manage growing application and infrastructure complexity and create a comprehensive end-to-end hybrid cloud platform designed for the AI era. Under the terms of the definitive agreement, HashiCorp shareholders on record immediately prior to the effective time on the closing date will receive \$35 per share in cash, representing a total enterprise value of approximately \$6.4 billion. On July 15, 2024, HashiCorp stockholders voted to approve the merger with IBM. The transaction is expected to close in the first quarter of 2025, subject to regulatory approvals and other customary closing conditions. Upon closing, HashiCorp will be integrated into the Software segment.

In 2024, we continued to invest organically and inorganically, bring new products and innovation to market, expand our ecosystem and drive productivity across our business. We have made significant progress in becoming a higher growth, more focused business that has delivered sustained revenue growth, strong cash generation and meaningful returns to all our stakeholders – our 2024 performance is a proof point of this progress. Today, IBM is a software-led, fully integrated platform company, a business well positioned for 2025 and the future.

In the first quarter of 2025, we announced changes to the reported revenue categories within our Software and Consulting reportable segments to better reflect the market opportunities and how we address them. IBM will report revenue and year-to-year revenue percent change for Hybrid Cloud (Red Hat), Automation, Data, and Transaction Processing within Software, and for Strategy and Technology and Intelligent Operations within Consulting. These changes were effective January 1, 2025 and will not impact our Consolidated Financial Statements or our reportable segments. Since these changes did not occur until first-quarter 2025, the periods presented in this Annual Report reflect the historical reported revenue categories.

Retirement-Related Plans

Our retirement-related plans remain in a strong financial position. In aggregate, our worldwide qualified plans are funded 116 percent, with the U.S. at 136 percent. Contributions for all retirement-related plans are expected to be approximately \$1.3 billion in 2025, approximately flat compared to 2024, of which \$0.1 billion relates to legally required contributions to non-U.S. defined benefits and multi-employer plans. We expect 2025 pre-tax retirement-related plan cost to be approximately \$1.1 billion. This estimate reflects current pension plan assumptions at December 31, 2024. Within total retirement-related plan cost, operating retirement-related plan cost is expected to be approximately \$1.0 billion in 2025, essentially flat compared to the prior year. Non-operating retirement-related plan cost is expected to be approximately \$0.1 billion, a decrease of approximately \$3.3 billion compared to 2024, primarily driven by the \$3.1 billion pension settlement charges resulting from the U.S. and Canada pension transfers in 2024, and lower recognized actuarial losses. Refer to note U, "Retirement-Related Benefits," for additional information on the pension transfers.

Liquidity and Capital Resources

We have generated strong cash flow from operations allowing us to invest and deploy capital to areas with the most attractive long-term opportunities. We provide for additional liquidity through several sources: maintaining an adequate cash balance, access to global funding sources, committed global credit facilities and other committed and uncommitted lines of credit worldwide. The following table provides a summary of the major sources of liquidity for the years ended December 31, 2022 through 2024.

Cash Flow and Liquidity Trends

(\$ in billions)				
	2024	2023	2022	
Net cash from operating activities	\$ 13.4	\$ 13.9	\$ 10.4	
Cash and cash equivalents, restricted cash and short-term marketable securities	\$ 14.8	\$ 13.5	\$ 8.8	
Committed global credit facilities ⁽¹⁾	\$ 10.0	\$ 10.0	\$ 10.0	

(1) Refer to note O, "Borrowings," for additional information.

The indenture governing our debt securities and our various credit facilities each contain significant covenants which obligate the company to promptly pay principal and interest, limit the aggregate amount of secured indebtedness and sale and leaseback transactions to 10 percent of IBM's consolidated net tangible assets, and restrict our ability to merge or consolidate unless certain conditions are met. The credit facilities also include a covenant on our consolidated net interest expense ratio, which cannot be less than 2.20 to 1.0, as well as a cross default provision with respect to other defaulted indebtedness of at least \$500 million.

We are in compliance with all of our significant debt covenants and provide periodic certification to our lenders. The failure to comply with debt covenants could constitute an event of default with respect to our debt to which such provisions apply. If certain events of default were to occur, the principal and interest on the debt to which such event of default applied would become immediately due and payable.

We do not have "ratings trigger" provisions in our debt covenants or documentation, which would allow the holders to declare an event of default and seek to accelerate payments thereunder in the event of a change in credit rating. Our debt covenants are well within the required levels. Our contractual agreements governing derivative instruments contain standard market clauses which can trigger the termination of the agreement if IBM's credit rating were to fall below investment grade. At December 31, 2024, the fair value of those instruments that were in a liability position was \$726 million, before any applicable netting, and this position is subject to fluctuations in fair value period to period based on the level of our outstanding instruments and market conditions. We have no other contractual arrangements that, in the event of a change in credit rating, would result in a material adverse effect on our financial position or liquidity.

The following table presents the major ratings agencies' ratings assigned to our debt securities as of December 31, 2024. The Moody's, Standard and Poor's and Fitch's ratings remain unchanged from December 31, 2023.

IBM Ratings	Standard and Poor's	Moody's Investors Service	Fitch Ratings
Senior long-term debt	A-	A3	A-
Commercial paper	A-2	Prime-2	F1

We have financial flexibility, supported by our strong liquidity position and cash flows, to operate at a single A credit rating. Debt levels decreased \$1.6 billion from December 31, 2023 primarily driven by currency, and maturities of \$6.6 billion partially offset by proceeds from issuances of \$5.7 billion in the current year. In the first quarter of 2025, we issued \$8.4 billion of debt for general

corporate purposes, including our future debt maturity obligations, as well as capital allocation priorities. Refer to note V, “Subsequent Events,” for additional information.

We prepare our Consolidated Statement of Cash Flows in accordance with applicable accounting standards for cash flow presentation on page 49 and highlight causes and events underlying sources and uses of cash in that format on page 27. For the purpose of running its business, IBM manages, monitors and analyzes cash flows in a different manner.

Management uses free cash flow as a measure to evaluate its operating results, plan shareholder return levels, strategic investments and assess its ability and need to incur and service debt. The entire free cash flow amount is not necessarily available for discretionary expenditures. We define free cash flow as net cash from operating activities less the change in Financing receivables and net capital expenditures, including the investment in software and other asset sales (e.g., the sale of certain QRadar SaaS assets). A key objective of the Financing business is to generate strong returns on equity, and our Financing receivables are the basis for that growth. Accordingly, management considers Financing receivables as a profit-generating investment, not as working capital that should be minimized for efficiency. Therefore, management includes presentations of both free cash flow and net cash from operating activities that exclude the effect of Financing receivables.

The following is management’s view of cash flows for 2024, 2023 and 2022 prepared in a manner consistent with the description above.

(\$ in billions)					
For the year ended December 31:					
	2024	2023	2022⁽¹⁾		
Net cash from operating activities per GAAP	\$ 13.4	\$ 13.9	\$	\$	10.4
Less: change in Financing receivables	(0.4)	1.2			(0.7)
Net cash from operating activities, excluding Financing receivables	13.9	12.7			11.2
Capital expenditures, net	(1.1)	(1.5)			(1.9)
Free cash flow	12.7	11.2			9.3
Change in Financing receivables ⁽²⁾	(0.4)	1.2			(0.7)
Acquisitions	(3.3)	(5.1)			(2.3)
Divestitures	0.7	0.0			1.3
Dividends	(6.1)	(6.0)			(5.9)
Change in total debt ⁽²⁾	(0.9)	4.5			1.2
Other ⁽²⁾	(1.0)	(1.2)			(1.2)
Effect of exchange rate changes on cash, cash equivalents and restricted cash ⁽²⁾	(0.4)	0.0			(0.2)
Change in cash, cash equivalents, restricted cash and short-term marketable securities	\$ 1.3	\$ 4.6	\$	\$	1.3

(1) Includes immaterial cash flows from discontinued operations.

(2) Prior-year amounts have been reclassified to conform to the change in 2024 presentation.

From the perspective of how management views cash flow, in 2024, after investing \$1.1 billion in net capital investments, we generated free cash flow of \$12.7 billion, an increase of \$1.5 billion versus the prior year. The year-to-year increase in free cash flow primarily reflects current year performance-related improvements within net income and sustainable lower cash requirements through changes in our retirement plans. In 2024, net capital expenditures and net cash from operating activities include \$0.4 billion and \$0.1 billion, respectively, of cash proceeds from the sale of certain QRadar SaaS assets. This benefit to net capital expenditures, net cash from operating activities and to free cash flow represented only a nominal net benefit to current-year cash flows due to payments for structural actions and foregone profit from the QRadar business. Refer to note E, “Acquisitions & Divestitures,” for additional information. In 2024, we continued to return value to shareholders with \$6.1 billion in dividends and invested \$3.3 billion in acquisitions.

IBM’s Board of Directors considers the dividend payment on a quarterly basis. In the second quarter of 2024, the Board of Directors increased the company’s quarterly common stock dividend from \$1.66 to \$1.67 per share. Beginning in the first quarter of 2025, we expect to file our quarterly reports on Form 10-Q closer to the timing of our quarterly earnings release, which may not coincide with the timing of our Board of Directors meeting. If the company’s Board of Directors approves a common stock dividend following the filing, the company will disclose this event in a current report on Form 8-K.

Events that could temporarily change the historical cash flow dynamics discussed previously include significant changes in operating results, material changes in geographic sources of cash, unexpected adverse impacts from litigation, future pension

funding requirements during periods of severe downturn in the capital markets or the timing of tax payments. Whether any litigation has such an adverse impact will depend on a number of variables, which are more completely described in note Q, “Commitments & Contingencies.”

With respect to pension funding, in 2024, we contributed \$79 million to our non-U.S. defined benefit plans compared to \$70 million in 2023. As highlighted in the Contractual Obligations table, we expect to make legally mandated pension plan contributions to certain non-U.S. plans of approximately \$0.7 billion in the next five years. The 2025 contributions are currently expected to be approximately \$100 million. Contributions related to all retirement-related plans are expected to be approximately \$1.3 billion in 2025, approximately flat compared to 2024. Refer to “Retirement-Related Plans” within the “Looking Forward” section for additional information. Financial market performance could increase the legally mandated minimum contributions in certain non-U.S. countries that require more frequent remeasurement of the funded status. We are not quantifying any further impact from pension funding because it is not possible to predict future movements in the capital markets or pension plan funding regulations. In 2025, we are not legally required to make any contributions to the U.S. defined benefit pension plans.

Our cash flows are sufficient to fund our current operations and obligations, including investing and financing activities such as dividends and debt service. When additional requirements arise, we have several liquidity options available. These options may include the ability to borrow additional funds at reasonable interest rates and utilizing our committed global credit facilities. Our overall shareholder payout remains at a comfortable level, and we remain fully committed to our long-standing dividend policy.

Contractual Obligations

(\$ in millions)

	Total Contractual Payment Stream	Payments Due In			
		2025	2026–27	2028–29	After 2029
Long-term debt obligations	\$ 55,111	\$ 4,850	\$ 12,326	\$ 8,503	\$ 29,433
Interest on long-term debt obligations	21,441	1,901	3,132	2,467	13,942
Finance lease obligations ⁽¹⁾	1,000	198	334	286	183
Operating lease obligations ⁽¹⁾	4,026	906	1,417	765	938
Purchase obligations	4,892	1,657	1,880	1,065	291
Other long-term liabilities:					
Minimum defined benefit pension plan funding (mandated) ⁽²⁾	700	100	300	300	
Excess Savings Plan	1,674	229	482	513	450
Long-term termination benefits	785	214	113	78	380
Tax reserves ⁽³⁾	5,355	46			
Other	597	97	118	84	298
Total	\$ 95,582	\$ 10,198	\$ 20,100	\$ 14,061	\$ 45,915

(1) Finance lease obligations are presented on a discounted cash flow basis, whereas operating lease obligations are presented on an undiscounted cash flow basis.

(2) As funded status on plans will vary, obligations for mandated minimum pension payments after 2028 could not be reasonably estimated.

(3) These amounts represent the liability for unrecognized tax benefits. We estimate that approximately \$46 million of the liability is expected to be settled within the next 12 months. The settlement period for the noncurrent portion of the income tax liability cannot be reasonably estimated as the timing of the payments will depend on the progress of tax examinations with the various tax authorities; however, it is not expected to be due within the next 12 months.

Certain contractual obligations reported in the previous table exclude the effects of time value and therefore, may not equal the amounts reported in the Consolidated Balance Sheet. Certain noncurrent liabilities are excluded from the previous table as their future cash outflows are uncertain. This includes deferred taxes, derivatives, deferred income, disability benefits and other sundry items. Certain obligations related to our divestitures are included.

Purchase obligations include all commitments to purchase goods or services of either a fixed or minimum quantity that meet any of the following criteria: (1) they are noncancelable, (2) we would incur a penalty if the agreement was canceled, or (3) we must make specified minimum payments even if we do not take delivery of the contracted products or services (take-or-pay). If the obligation to purchase goods or services is noncancelable, the entire value of the contract is included in the previous table. If the obligation is cancelable, but we would incur a penalty if canceled, the dollar amount of the penalty is included as a purchase obligation. Contracted minimum amounts specified in take-or-pay contracts are also included in the table as they represent the portion of each contract that is a firm commitment.

In the ordinary course of business, we enter into contracts that specify that we will purchase all or a portion of our requirements of a specific product, commodity or service from a supplier or vendor. These contracts are generally entered into in order to secure pricing or other negotiated terms. They do not specify fixed or minimum quantities to be purchased and, therefore, we do not consider them to be purchase obligations.

Interest on floating-rate debt obligations is calculated using the effective interest rate at December 31, 2024, plus the interest rate spread associated with that debt, if any.

Off-Balance Sheet Arrangements

In the normal course of business, we may enter into off-balance sheet arrangements such as client financing commitments and guarantees. At December 31, 2024, we had no off-balance sheet arrangements that have, or are reasonably likely to have, a material current or future effect on our financial condition, changes in financial condition, revenues or expenses, results of operations, liquidity, capital expenditures or capital resources. Refer to the table above for our contractual obligations, and note Q, "Commitments & Contingencies," for detailed information about our guarantees, financial commitments and indemnification arrangements. We do not have retained interests in assets transferred to unconsolidated entities or other material off-balance sheet interests or instruments.

Critical Accounting Estimates

The application of GAAP requires IBM to make estimates and assumptions about certain items and future events that directly affect its reported financial condition. The accounting estimates and assumptions discussed in this section are those that we consider to be the most critical to our financial statements. An accounting estimate is considered critical if both (a) the nature of the estimate or assumption is material due to the levels of subjectivity and judgment involved, and (b) the impact within a reasonable range of outcomes of the estimate and assumption is material to IBM's financial condition. Senior management has discussed the development, selection and disclosure of these estimates with the Audit Committee of IBM's Board of Directors. Our significant accounting policies are described in note A, "Significant Accounting Policies."

A quantitative sensitivity analysis is provided where that information is reasonably available, can be reliably estimated and provides material information to investors. The amounts used to assess sensitivity (e.g., 1 percent, 10 percent, etc.) are included to allow users of the financial statements to understand a general direction cause and effect of changes in the estimates and do not represent management's predictions of variability. For all of these estimates, it should be noted that future events rarely develop exactly as forecasted, and estimates require regular review and adjustment.

Pension Assumptions

For our defined benefit pension plans, the measurement of the benefit obligation to plan participants and net periodic pension (income)/cost requires the use of certain assumptions, including, among others, estimates of discount rates, interest crediting rates and expected return on plan assets. Beginning in 2024, as a result of changes to the Qualified PPP as discussed in note U, "Retirement-Related Benefits," the interest crediting rate and expected return on plan assets will be based on their relationship to the plan's discount rate.

Changes in the discount rate and the interest crediting rate assumptions would impact the service cost, (gain)/loss amortization and interest cost components of the net periodic pension (income)/cost calculation and the projected benefit obligation (PBO). Changes in the expected long-term return on plan assets assumption impacts the net periodic pension (income)/cost. Expected returns on plan assets are calculated based on the market-related value of plan assets, which recognizes changes in the fair value of plan assets systematically over a five-year period in the expected return on plan assets line in net periodic pension (income)/cost. The differences between the actual return on plan assets and the expected long-term return on plan assets are recognized over five years in the expected return on plan assets line in net periodic pension (income)/cost and also as a component of actuarial (gains)/losses, which are recognized over the service lives or life expectancy of the participants, depending on the plan, provided such amounts exceed thresholds which are based upon the benefit obligation or the value of plan assets, as provided by accounting standards.

The discount rate assumption for the Qualified PPP and Excess Personal Pension Plan (U.S. Defined Benefit Pension Plans), increased by 50 basis points to 5.5 percent on December 31, 2024. This change will increase pre-tax income recognized in 2025 by an estimated \$104 million. A 25 basis point increase in the discount rate assumption would cause a corresponding increase in the pre-tax income recognized in 2025 by an estimated \$75 million. A 25 basis point decrease in the discount rate assumption would cause a corresponding decrease in the pre-tax income recognized in 2025 by an estimated \$27 million. The impact on pre-tax income as a result of a change in discount rate includes the impact of a similar change in the interest crediting rate. The increase or decrease in the discount rate would also cause a corresponding increase or decrease, respectively, in the 2025 expected return on plan assets assumption. Further changes in the discount rate assumptions would impact the PBO which, in turn, may impact our funding decisions if the PBO exceeds plan assets. A 25 basis point increase in the discount rate would decrease the PBO by \$256 million. A 25 basis point decrease in the discount rate would increase the PBO by \$265 million. The impact on the PBO as a result of a change in discount rate includes the impact of a similar change in the interest crediting rate. Each 50 basis point change in the

expected long-term return on these U.S. defined benefit plan assets assumption would have an estimated impact of \$98 million on the following year's pre-tax net periodic pension (income)/cost (based upon the 2025 assumptions).

We may voluntarily make contributions or be required, by law, to make contributions to our pension plans. Actual results that differ from the estimates may result in more or less future IBM funding into the pension plans than is planned by management. Impacts of these types of changes on our pension plans in other countries worldwide would vary depending upon the status of each respective plan.

In addition to the above, we evaluate other pension assumptions involving demographic factors, such as retirement age and mortality, and update these assumptions to reflect experience and expectations for the future. Actual results in any given year can differ from actuarial assumptions because of economic and other factors.

For additional information on our pension plans and the development of these assumptions, refer to note U, "Retirement-Related Benefits."

Revenue Recognition

Application of GAAP related to the measurement and recognition of revenue requires us to make judgments and estimates. Specifically, complex arrangements with nonstandard terms and conditions may require significant contract interpretation to determine the appropriate accounting, including whether promised goods and services specified in an arrangement are distinct performance obligations. Other significant judgments include determining the standalone selling price (SSP), determining whether IBM or a reseller is acting as the principal in a transaction and whether separate contracts should be combined and considered part of one arrangement.

Revenue recognition is also impacted by our ability to determine when a contract is probable of collection and to estimate variable consideration, including, for example, rebates, volume discounts, service-level penalties and performance bonuses. We consider various factors when making these judgments, including a review of specific transactions, historical experience and market and economic conditions. Evaluations are conducted each quarter to assess the adequacy of the estimates. If the estimates were changed by 10 percent in 2024, the impact on net income would have been \$31 million.

Costs to Complete Service Contracts

We enter into numerous service contracts through our services businesses. During the contractual period, revenue, cost and profits may be impacted by estimates of the ultimate profitability of each contract, especially contracts for which we use cost-to-cost measures of progress. For those contracts, if at any time these estimates indicate the contract will be unprofitable, the entire estimated loss for the remainder of the contract is recorded immediately in cost. We perform ongoing profitability analyses of these services contracts in order to determine whether the latest estimates require updating. Key factors reviewed to estimate the future costs to complete each contract are future labor costs and product costs and expected productivity efficiencies. Contract loss provisions recorded as a component of other accrued expenses and liabilities were immaterial at December 31, 2024 and 2023.

Income Taxes

We are subject to income taxes in the U.S. and numerous foreign jurisdictions. Significant judgment is required in determining the consolidated provision for income taxes.

During the ordinary course of business, there are many transactions and calculations for which the ultimate tax determination is uncertain. As a result, we recognize tax liabilities based on estimates of whether additional taxes and interest will be due. These tax liabilities are recognized when, despite our belief that our tax return positions are supportable, we believe that certain positions may not be fully sustained upon review by tax authorities. We believe that our accruals for tax liabilities are adequate for all open audit years based on our assessment of many factors, including past experience and interpretations of tax law. This assessment relies on estimates and assumptions and may involve a series of complex judgments about future events. To the extent that new information becomes available which causes us to change our judgment regarding the adequacy of existing tax liabilities, such changes to tax liabilities will impact income tax expense in the period in which such determination is made.

Significant judgment is also required in determining any valuation allowance recorded against deferred tax assets. In assessing the need for a valuation allowance, management considers all available evidence for each jurisdiction including past operating results, estimates of future taxable income and the feasibility of ongoing tax planning strategies/actions. In the event that we change our determination as to the amount of deferred tax assets that can be realized, we will adjust the valuation allowance with a corresponding impact to income tax expense in the period in which such determination is made.

The consolidated provision for income taxes will change period to period based on non-recurring events, such as the settlement of income tax audits and changes in tax laws, as well as recurring factors including the geographic mix of income before taxes, state and local taxes and the effects of various global income tax strategies.